

Redeeming the Word Budget

I've found that many people hate the word *budget*. It can carry a lot of bad emotional connotations or bring up painful memories of old family drama. It can also sound restrictive or feel like a financial cage. I wonder if that's why the hosts of the rental real estate podcast episode I listened to hated the idea of a budget. If you're coming to the table already predisposed against creating a budget, let me help you reframe the whole idea. First of all, a budget is not a financial straitjacket, and it's not surrendering all your control. Instead, a budget is a tool that will give you more control over your money than you've ever had. It enables you to make your money work harder and go further than you can imagine. If you don't believe me, then believe the 10,000 millionaires we studied—most of whom built their wealth by living on and sticking to a budget. I don't think all those thousands of millionaires feel caged in by a budget they can't control. Rather, based on the overwhelming number of millionaires who stick to their budgets even after hitting millionaire status, I imagine they see the budget as the tool they used to exercise complete control over their money.

Second, a budget eliminates all the confusion and mystery around where your money goes each month and replaces it with a hyper-awareness of how hard your money is working for you. It makes the financial "slide" impossible because you're tracking every dollar. The first time we created a monthly budget, we realized we'd been spending almost \$1,200 a month on groceries. I had no idea we were wasting so much money on garbage we didn't need. As we settled into our monthly budget, we kept "finding" new money because we had cut off the financial slide for good.

Third, a budget puts your money to work. If you want to become a millionaire, you must be intensely intentional about every dollar you have coming in and going out. A budget makes that intentionality easy. As you get started, I want to suggest three priorities to get the biggest bang out of your budget. These should be the first things you spend money on each